FAQs

1. **What is NPS Bharat Fund of Funds? (NB-FoF)**

   NPS Bharat Fund of Funds (NB-FoF) is a dedicated Alternative Investment Fund (AIF) focused Fund of Funds established under the NPS framework to channel a portion of NPS assets (Pension Savings) into carefully selected Alternative Investment Funds in India.

   It serves as an institutional investor in order to facilitate structured exposure of NPS assets to high-quality AIFs, while ensuring strong governance, risk management, and fiduciary discipline.

   The NB-FoF aims to:

   - Enhance long-term subscriber returns
   - Provide portfolio diversification through alternative asset exposure
   - Generate alpha through investment in well-managed AIFs
   - Uphold the highest standards of governance, transparency, and fiduciary oversight.

2. **What is NPS Bharat FoF platform?**

   NPS Bharat FoF Platform is a centralized Fund-of-Funds mechanism that acts as a single-window interface for onboarding, evaluating, investing, and post investment monitoring of eligible AIFs on behalf of NPS Trust, ensuring standardized due diligence, coordinated investments, and ongoing oversight.

3. **What categories of Alternative Investment Funds (AIFs) are eligible?**

   Only SEBI-registered Category I and Category II AIFs are eligible for investment, in accordance with the applicable Pension Fund Regulatory and Development Authority (PFRDA) investment guidelines.

4. **What is the sector mandate?**

   The NB-FoF follows a sector-agnostic investment approach, with no predefined restrictions on sectors. Investments may be made across sectors, subject to applicable regulatory guidelines and internal evaluation criteria.

5. **What is NB- FoF total corpus?**

   The corpus of the NB–FoF is based on PFRDA-permitted limits for alternative investments under NPS.

   As per extant PFRDA investment guidelines:

- Up to 1% of AUM (Government Sector) may be allocated to AIFs.
- Up to 5% of Scheme E & C AUM (Non-Government Sector) may be invested in alternative assets (including AIFs).

Note: The regulatory ceiling for Non-Government Sector also includes investment in Gold/Silver ETFs & REITs/InvITs.

6. **What is the minimum size of corpus eligible for FoF?**

AIFs with a target corpus of ₹100 Crore or more are eligible to apply for consideration under the FoF platform.

7. **Which AIFs are eligible to Apply?**

AIFs can determine their eligibility prior to applying by referring to the prescribed criteria available on the NB-FOF website.

8. **How can AIFs Apply?**

Eligible AIFs can only apply through the **"Apply Now"** Button on the FoF Platform. Only those AIFs who pass initial-assessment score can submit their application.

9. **Can an AIF seeking contribution invest in foreign companies/entities?**

No, as per Section 25 of the PFRDA Act, 2013, AIFs cannot invest in securities of Companies or Funds incorporated and operated outside India.

10. **What is the journey from application till final commitment?**

Registration → Self-Assessment → Submission of Application →Screening Committee → Pension Funds Investment Committee → Documentation → Onboarding of AIFs.

11. **Does the FoF guarantee allocation to shortlisted AIFs?**

No, shortlisting does not guarantee a capital commitment. The selection process is conducted in two stages. Shortlisting by the Screening Committee constitutes only the first stage. Final commitment depends on:
- Regulatory Ceilings prescribed by PFRDA.
- Approval of the Pension Fund's Investment Committee, based on the applicable terms and conditions decided by it.

12. **Who conducts assessment/appraisal?**

The **AIF Cell** under **NPS Trust** conducts due diligence, including but not limited to:

- Investment strategy evaluation
- Track record verification
- Governance review
- Risk assessment
- Legal and regulatory compliance
- Operational diligence

13. **What documents are typically required for AIF Cell Evaluation/Appraisal?**

AIFs are required to submit, inter alia, the following documents for evaluation by the AIF Cell:

- SEBI registration certificate
- Private Placement Memorandum (PPM) and Investment Management (IM) Agreement
- Track Record (realized and unrealized performance)
- Details of Key Members such as Directors/Partners of the AIF.
- Organizational Structure
- Compliance certifications
- Valuation policy
- ESG Policy (if applicable)
- Risk management framework
- Litigation disclosure
- PMLA-related declarations
- Grading/Rating of AIF

The above list is indicative and not exhaustive. Additional information/documents may be sought as part of the evaluation process.

14. **Is General Partner (GP) commitment mandatory**?

Yes, General Partner (GP) commitment is expected to ensure alignment of interests between the Investment Manager and investors. A meaningful “skin in the game” is considered an important factor in the evaluation process.

15. **How can the applicant check the application status?**

All required communications regarding the application status will be conveyed to the applicant. For instance, once the AIF Cell begins processing the application, a notification will be sent to inform the applicant accordingly. Similar updates will also be provided at subsequent stages of the process.

16. **Is co-investment required?**

Co-investments are not allowed as per the PFRDA investment guidelines.

17. **What reporting is required post-investment?**

Post-investment, AIFs shall provide periodic reporting, including, but not limited to:

- Quarterly portfolio updates
- Net Asset Value (NAV) statements
- Capital account statements
- Valuation reports
- ESG reporting (if applicable)
- Material event disclosures

18. **Is Limited Partners Advisory Committee (LPAC) participation required?**

Yes, the NB-FoF platform may seek participation in the LPAC to facilitate effective oversight and governance.

This may include:

- Representation on the LPAC
- Participation in key governance matters

19. **What are key evaluation parameters?**

AIFs are assessed on multiple parameters, including, but not limited to:

- Clarity and robustness of investment strategy
- Risk–return profile
- Stability and experience of the investment team
- Consistency of track record
- Portfolio construction and discipline
- Exit track record and realization capability
- Strength of governance framework
- Regulatory and compliance track record

20. **What are the key expectations from General Partners (GPs)?**

General Partners (GPs) are expected to adhere to high standards of professionalism and fiduciary responsibility, including:

- Adherence to strong institutional governance standards
- Regular and transparent communication with investors
- Timely and accurate reporting

- Strong alignment of interests with investors
- High standards of ethical conduct
- Focus on long-term value creation

21. **Who is responsible for executing the Contribution Agreement?**

The Contribution Agreement, along with any other relevant documents, shall be executed between the concerned Pension Fund scheme and the AIF.

22. **What is meant by a First-Time Fund Manager?**

A First-time Fund Manager is an Investment Manager that is raising and managing its first Alternative Investment Fund and therefore lacks an established track record in managing AIFs or similar pooled investment vehicles, though the team may have prior individual experience in investments.

Further, An Investment Manager that has prior experience in managing an AIF in one category (e.g., **debt**) but is launching a fund in another category (e.g., **equity**) will be considered a first-time fund manager for that specific strategy, due to the absence of a demonstrated track record in the new category, and vice versa.

23. **What is meant by "Last Fund"?**

Last Fund refers to the latest vintage fund raised by the Investment Manager within the same strategy (e.g., Debt or Equity) as the proposed fund. Funds raised in a different category shall not be considered as the "Last Fund" for evaluation purposes.

24. **What is meant by "AIF Business"?**

AIF Business refers to the end-to-end fund management activities undertaken by the Investment Manager in relation to Alternative Investment Funds, including fundraising, deal sourcing, investment execution, portfolio management, monitoring, and exits.

25. **What are the Big five Auditors?**

Big Five auditors are Deloitte, PwC, EY, KPMG and Grant Thorton.

26. **What are the Equity Oriented Funds?**

AIFs which invest primarily in equity or equity linked instruments or partnership interests of investee companies according to the stated objective of such fund.

27. **What are the Debt Oriented Funds?**

Fund that invests primarily in debt securities of listed or unlisted investee companies, typically through privately negotiated or structured credit instruments, in accordance with its stated investment objectives.

28. **Is there any restriction on the number of AIFs that can be funded by the NB-FOF?**

There is no restriction on the number of AIFs that may be funded by the NB-FOF, as long as the investments remain within the limits prescribed under the PFRDA investment guidelines.

29. **Are Fund of Funds eligible to apply for investment under the NB-FOF?**

No, Fund of Funds are not eligible for investment under the NB-FOF.